

in a bull trend of Cycle degree for years, Supercycle degree for decades, and Grand Supercycle degree for over two centuries, which is exactly why we should be concerned that a drop of this magnitude is possible.

PATTERN OF THE BEAR MARKET

Since the bear market will be wave Four, it will alternate in form with wave Two to satisfy the guideline of alternation. Because wave Two (see Figure 5-1) was from the “sharp” family of corrective patterns, being a *zigzag*, wave Four will be from the “sideways” family and trace out a *flat*, *triangle* or *double three*.

Most sideways patterns contain at least one rally carrying prices above the peak of the preceding impulse wave. As an example of such an occurrence, Figure 5-2 shows that although the Dow hit a new high in 1973, it was part of the corrective pattern that began in 1966 and ended in 1974. As another example, Figure 3-3 shows wave B reaching a new high in the ongoing flat or triangle from 1966. Therefore, we should expect a similar new all-time high, by a small margin, within Grand Supercycle wave Four.

It is extremely fortuitous that the data available is sufficient for us to discern the parallel trend channel for the Millennium wave, as demonstrated in Chapter 2 and shown again in Figure 5-1. This channel allows for substantial confidence and precision in some of our projections.

If Figure 5-1 shows the proper channel for the Millennium degree advance, it should define the lower boundary for wave Four (and ultimately the upper boundary for wave Five, which will end two or three centuries from now). We also know that most fourth waves produce or precede a brief break of the support line, called a “throw-under,” such as in 1932 at the low of wave (IV) (shown in Figures 2-1 and 5-1) and in 1982 after the low of wave IV (see Figure 2-5). With this much information, we can reliably discern the approximate *size* of the expected sideways pattern.

Given that the form of wave Four should be a flat, triangle or double three, that it may contain an all-time high, that the downside target range is 95-381, that the bulk of the correction should take place within the channel, and that a break of the lower channel line is probable near the end of the correction, I will propose four compatible scenarios. As each one is described below, you may wish to examine the real-life examples referenced in parentheses.